

Volkswagen Group

Northeast and Southeast Asia

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Across four separate regulatory jurisdictions, Volkswagen's compliance record shows the same underlying choice repeated: when market access and compliance discipline have come into conflict, market access has won. The clearest evidence of this is not any single case but the range of them: an emissions defeat device, a price-fixing arrangement among Audi dealers, a forced labour audit built to clear the company rather than examine it, and a two-decade recycling cartel run through an industry body. These were adjudicated independently by different regulators in different countries over more than twenty years. Read together, they describe an organisation, not an incident.

Corporate footprint

Volkswagen's operational presence in Northeast and Southeast Asia runs largely through structures it does not control outright, and that pattern is most visible in China, where the Group generates close to a third of its global revenue. Sixteen mapped entities sit beneath this presence: four joint ventures with state-linked partners operate eleven active plants across nine cities. In SAIC-Volkswagen, SAIC Motor holds 50 percent and Volkswagen AG holds 39 percent directly, with the remaining 11 percent split between Audi AG and Volkswagen (China) Investment Co. In FAW-Volkswagen, FAW Group holds an outright 60 percent, against 25 percent for Volkswagen AG, 5 percent for Audi AG, and 10 percent for the China investment vehicle. In neither of its two largest China ventures does Volkswagen AG hold a majority on its own. Volkswagen Anhui is the exception, held at 75 percent by Volkswagen AG, and Audi FAW NEV sits at 55 percent Audi AG plus 5 percent Volkswagen (China) Investment against 40 percent FAW. The Group also holds a 25.56 percent stake in Gotion High-Tech, a battery manufacturer, and an indirect 25 percent plus one share in Sinotruk through its Traton subsidiary.

The same concentration shows up in who runs it: Ralf Brandstaetter holds both a Board of Management seat in Wolfsburg responsible for China and the chairmanship of Volkswagen Group China itself, putting one person on both sides of the reporting line between headquarters and the regional operation. Outside China, the footprint is simpler: wholly owned sales subsidiaries in Japan, South Korea, and Taiwan, a regional holding entity in Singapore, and a distribution and financial services presence in Malaysia. Vietnam has no Group equity entity at all. Volkswagen sells there through independent importers.

Compliance record

Emissions, 2015, global. Volkswagen installed software in roughly eleven million diesel vehicles designed to detect and pass laboratory emissions tests while exceeding legal limits on the road. US settlements alone exceeded twenty billion dollars across criminal, civil, and consumer claims. A UK class action settled for 193 million pounds in 2022. German investor litigation remains open, with contingent liabilities of 3.8 billion euros recorded in the 2024 annual report.

Price fixing, 2014, China. China's National Development and Reform Commission fined FAW-Volkswagen Sales 248.6 million yuan for organising Audi dealers to fix prices on vehicles and servicing from 2012 onward, China's first antitrust penalty against a foreign automaker. Audi admitted to part of the conduct. A follow-on inquiry tied to a related 2021 European Commission decision remains open against Volkswagen, Audi, and Porsche.

Forced labour, 2021 to 2024, Xinjiang. SAIC-Volkswagen operated a plant and two test tracks near Urumqi for over a decade. Volkswagen's commissioned audit was subcontracted to a Shenzhen firm with Communist Party ties and no documented audit experience; when it leaked, researcher Adrian Zenz found it had not interviewed a single worker. In February 2024 US customs detained thousands of Audi, Porsche, and Bentley vehicles after Volkswagen disclosed a forced-labour-linked component in its US supply chain. The plant was sold to a state-owned buyer that November.

Recycling cartel, 2001 to 2025, EU and UK. The European Commission and UK Competition and Markets Authority found Volkswagen had coordinated with other manufacturers for over twenty years, through an industry working group, to avoid paying for vehicle recycling and withhold recyclability data from competitive use. The Commission fined Volkswagen 128 million euros; the CMA fined it and its UK subsidiary jointly 15 million pounds. Both closed by settlement in April 2025.

Assessment

The four cases differ in mechanism but share a posture. The defeat device was built to produce a passing test result rather than a compliant car. The Xinjiang audit was built to produce a clean report rather than a credible one. In both, the compliance output was engineered before the underlying conduct was addressed. China's weight here is structural rather than incidental. Volkswagen generates close to a third of its global revenue there, through ventures it frequently does not control outright, in a regulatory environment that limits independent audit access. The Urumqi exit took customs enforcement and pressure from twenty-three parliaments.